MEMORANDUM OF AGREEMENT

KNOW ALL MEN BY THESE PRESENTS:

This **Memorandum of Agreement (MOA)** is hereby made and entered into this _____ day of AUG 2 9 2019 2019 at the City of Pasig, Philippines by and between:

The **MARITIME INDUSTRY AUTHORITY (MARINA)**, a Philippine government agency duly created and existing under and by virtue of Presidential Decree No. 474 dated June 1, 1974, otherwise known as the Maritime Industry Decree of 1974 with principal office address at A. Bonifacio Avenue cor 20th Avenue cor Railroad Street, South Harbor, Port Area, Manila, represented herein by its Officer-In-Charge, Office of the Administrator, **VADM NARCISO A VINGSON JR,** hereinafter referred to as **"MARINA"**;

- and -

The **DEVELOPMENT ACADEMY of the PHILIPPINES (DAP),** a government institution, duly organized and existing under and by virtue of Presidential Decree No. 205, as amended with principal office address at the DAP Building San Miguel Avenue, Ortigas Center, Pasig City, represented herein by its President and Chief Executive Officer, **ATTY. ENGELBERT C. CARONAN, JR**., MNSA, hereinafter referred to as the **"DAP".**

The **MARINA** and the **DAP** shall be collectively referred to herein as the **"PARTIES"**.

WITNESSETH, that:

WHEREAS, the **MARINA** is mandated to adopt and implement a practicable and coordinated Maritime Industry Development Program (MIDP) which shall include among others:

- The early replacement of obsolescent and uneconomic vessels;
- Modernization and expansion of the Philippine merchant fleet;
- Enhancement of domestic capability for shipbuilding, repair and maintenance; and
- Development of a reservoir of trained manpower.

By virtue of Executive Order No. 546, the **MARINA** was attached to the DOTC now DOTr for policy and program coordination on 23 July 1979;

WHEREAS, subsequent directives have reinforced the functions of the **MARINA**, namely the (a) *Executive Order No. 1011* on March 20, 1985, transferred to the MARINA the issuance of franchise of ships operating in the domestic shipping; (b) *Executive Order No. 125/125A* on April 13, 1987, reiterated the regulatory and supervisory functions of the maritime industry; and (c) *Republic Act 9295* on May 3, 2004, otherwise known as the Domestic Shipping Development Act of 2004 provide, among others, for the deregulation of the domestic shipping industry;

WHEREAS, *Executive Order No. 75 in 2012 and Republic Act 10635 in 2014* designated the Department of Transportation and Communications (DOTC), now DOTr through the **MARINA**, as the single administration in the Philippines responsible for the

implementation and enforcement of the 1978 International Convention on Standards of Training, Certification and Watchkeeping (STCW) for Seafarers, as amended;

WHEREAS, DAP is a research, training, education and consultancy institution of the Philippine government under the Office of the President of the Philippines;

WHEREAS, the **DAP** is mandated to come up with new, pioneering, innovative, value-adding ideas, approaches and technologies, building individual and institutional capacities of development actors such as government agencies, private institutions and civil society organizations; and forging working partnerships among such actors toward developmental change;

WHEREAS, **DAP** responded to the Request for Proposal posted by **MARINA** to determine and provide the **MARINA** (Central Office Services, Standards of Training Certification & Watchkeeping Office and Regional Offices) with the right-size number of plantilla personnel with appropriate position title and salary grades to undertake the functions critical to **MARINA**'s mandates as the Single Maritime Administration of the Philippines;

WHEREAS, **MARINA's** Bids and Awards Committee or BAC approved on December 28, 2017 the proposal developed by **DAP** titled "**Organizational Structure Review of the Maritime Industry Authority"** following the Agency-to-Agency mode of procurement per guidelines in the Implementing Rules and Regulations of the Republic Act 9184 or the Procurement Act, as amended. The BAC resolution is hereto attached and made integral part hereof as *"Annex A"*.

WHEREAS, the **DAP** prepared an enhanced proposal titled "**Organizational Transformation Program"**, in light of the emerging needs of MARINA to be responsive to the rising demands of the maritime industry and fulfill its domestic and international commitments;

NOW, THEREFORE, for and in consideration of the foregoing and mutual covenants hereinafter contained, the parties hereby agree as follows:

Section 1. Description of the Project. – The Parties hereby undertake to perform the first component of the Project entitled: "**MARINA Organizational Structure and Staffing Review**" to facilitate the transition of MARINA into a high performing maritime administration, more particularly described in the Project Proposal attached hereto and made integral part hereof as *"Annex B"*.

Section 2. Obligations of MARINA. – The MARINA shall:

a. Identify the counterpart team or TWG who will work closely with DAP Project Team in the implementation of project activities;
b. Coordinate implementation of project activities based on the agreed schedule;
c. Source, make available and endorse all relevant MARINA documents or materials necessary for the conduct of the project activities according to agreed deadlines;
d. Arrange, secure schedule and invite participants to small group discussions, workshops, validation sessions, etc.;
e. Provide the venue for the workshops, equipment, food and accommodation for the participants, DAP project team, and resource persons during the conduct of the project activities;

f. Communicate in writing any changes to schedule, composition of workshop participants, and availability of relevant documents that may adversely affect planned activities prior to its implementation date;
g. Consolidate and provide in formal writing all feedback within 7 working days on the outputs provided by DAP; and
h. Secure the timely payment to DAP the agreed consideration and payment terms.

Section 3. Obligations of the DAP. – The DAP shall:

a. Organize a project team consisting of technical and project staff who will manage and oversee the smooth implementation of all project activities;
b. Orient the MARINA project team and lead planning of project activities during inception;
c. Implement the project based on the agreed schedule;
d. Update the MARINA team on the progress of the project;
e. Design and facilitate all project activities and workshops that would lead to the production of the outputs;
f. Cover transportation to field visits for validation, if necessary;
g. Communicate in writing any changes to schedule, design, and availability of needed resources that may adversely impact logistics prior to its implementation date;
h. Do/undertake only one revision to the output/deliverable based on feedback provided; and
i. Bill MARINA according to agreed schedule.

Section 4. Payment. – For and in consideration of the services of the DAP, the MARINA shall pay the DAP the sum of **Six Million Pesos (PhP6,000,000.00)** inclusive of 12% VAT according to the following schedule:

Project Payment Schedule		**Cost (in PhP)**
Project Milestones	**Percentage**	
1. Upon submission of the Inception Report	20%	1,200,000.00
2. Upon presentation of Organizational Diagnostic Report	25%	1,500,000.00
3. Upon completion of the last Workload Analysis Workshops	30%	1,800,000.00
4. Upon submission of the OSSP Transition Management Plan	15%	900,000.00
5. Upon submission of the Project Completion Report	10%	600,000.00
	TOTAL	**6,000,000.00**

A Certificate of Availability of Funds (CAF) covering the cost of the contract duly signed by the Chief Accountant of MARINA is hereto attached and marked as "*Annex C*" and made an integral part of this Agreement.

Section 5. Duration of the Agreement.

a. This Agreement shall become effective upon execution thereof and shall be completed within the period of **eleven months (11)** after the signing of the

contract; provided, however, that there shall be flexibility in the Project duration as long as the specified Project deliverables agreed upon by both parties are met.

b. Either party shall promptly report to each other the occurrence of any event or condition which might delay or prevent the timely completion of the services embraced herein, specifying in writing the amount of time involved, the causes of the delay, and its subsequent implications on the entire timetable, work schedule and budget of the Project. Any extension of contract time shall not involve any additional cost.

Section 6. Confidentiality. – Each party undertakes not to divulge at any time to any third person any confidential information relating to the other, except upon prior written consent of the other or where required under the law or regulation or by a valid order of a court or other governmental authority with competent jurisdiction.

Section 7. Intellectual Property Rights. – All materials and work provided by the DAP shall belong exclusively to DAP and shall not be used for any purpose other than the implementation of this Agreement. Any use, reproduction, publication, sale or distribution of these materials and work shall be subject to the prior written consent of the DAP and such other terms as DAP shall require. Any original work created arising out of or in connection with this Agreement shall belong to the DAP, except where the original work uses any data or material belonging to the MARINA, in which case, the work shall be owned jointly by the Parties, with each party having royalty free non-exclusive and irrevocable license to use, publish, copy, reproduce or distribute the work for government or public purposes.

Section 8. Liability. – In the event of any breach of contract by either Party or any negligence resulting in a breach of contract, **the person at fault or accountable for such negligence** shall be responsible for the liability arising from the breach of contract according to this Agreement and the provisions of applicable laws.

Section 9. Warranties. – All conditions and warranties whether express or implied by law or otherwise (including but not limited to those as to description, merchantability or fitness for a particular purpose) are excluded from this Agreement.

Section 10. Changes. – If changes under this section should result in an increase or decrease in the services originally provided and scheduled, an equivalent adjustment on the contract price, time or both shall subsequently be agreed upon in writing by both Parties.

Section 11. Force Majeure. – No party shall be liable to the other for the delay or non-performance of its obligations under this Agreement arising from any cause or causes beyond its reasonable control, including without limitation, any of the following: Act of God, government act, war, fire, flood, explosion or civil commotion.

Section 12. Termination

a. Without prejudice to the provisions of the Government Procurement Reform Act, R.A. 9184, and its implementing rules relative to termination of a contract, the

following shall entitle the innocent party to terminate this agreement by written notice:

1. Failure on the part of **either party** to perform its obligation under the terms of its agreement.

2. Failure on the part of **either party** to remedy any breach of its obligation hereunder within fifteen (15) days following a written notice from the innocent party specifying the breach of its obligations with particulars.

3. Any serious and persistent breach by either party of any provision of this Agreement.

b. The Parties may terminate this Agreement upon **WRITTEN** mutual consent/agreement of both parties.

Section 13. Dispute Settlement or Arbitration. – All disputes and controversies arising out of in connection with this Agreement, or for breach of any provision hereof, which cannot be solved by the herein contracting parties, shall be settled through Arbitration in accordance with PD 242 in relation to Section 66, Chapter XIV, Book V of the Administrative Code of 1987, in conjunction with Section 10, Chapter III, Book VII, of the same Code.

The venue of any legal action arising out of this Agreement shall be exclusively instituted at the proper court in Pasig City.

Section 14. Amendments. – No amendment or modification of any of the terms and conditions of this Agreement shall be valid unless evidenced by a written Agreement executed by the parties' respective authorized representatives.

Section 15. Severability. – If any part of this Agreement is declared unenforceable or void, the rest of the Agreement shall nevertheless remain in full force and effect.

Section 16. Waiver. – No failure, omission or delay of any of the Parties in exercising any of its rights, privileges and remedies hereunder shall operate as a waiver thereof. No waiver or departure from the terms of this Agreement shall be valid unless made in writing and signed by the parties' authorized representative. Such waiver shall be effective only in the specific instance and for the purpose for which it is given.

Section 17. Assignment. – The benefit of this Agreement may not be assigned in whole or in part by a party without the prior written consent of the other.

Section 18. Binding Effect. – This Agreement shall be binding on the Parties and their respective successors-in-interest.

IN WITNESS WHEREOF, the Parties hereto have signed this Agreement on the _____ day of _____ 2019 in Pasig City.

MARITIME INDUSTRY AUTHORITY

By:

VADM NARCISO A VINGSON JR

Officer-In-Charge

DEVELOPMENT ACADEMY OF THE PHILIPPINES

By:

ATTY. ENGELBERT C. CARONAN, JR., MNSA

President and CEO

SIGNED IN THE PRESENCE OF:

ARSENIO F. LINGAD II
OIC, Deputy Administrator for Planning, MARINA

TRYGVE A. BOLANTE
Vice President, DAP

ACKNOWLEDGEMENT

Republic of the Philippines)
Pasig City) S.S.

AUG 2 9 2019

BEFORE ME, a Notary Public for and in _____, this _____ day of _____, personally appeared: PASIG CITY

NAME	GOV'T. ISSUED I.D. DATE/PLACE ISSUED
VADM NARCISO A VINGSON JR	_____ Expiry Date: _____ Issued at: _____
ATTY. ENGELBERT C. CARONAN, JR.	Company ID #210367 Expiry Date: _____ Issued at: _____

known to me to be the same officials who executed the foregoing instrument and they both acknowledged to me that the same is their free and voluntary act and deed and that of the government agencies they represent therein.

This instrument consisting of seven (7) pages including this page on which this acknowledgment is written and signed by Parties and their instrumental witnesses on the left-hand margin of each page thereof as well as Annexes "A, B and C", refers to a Memorandum of Agreement executed for the purpose(s) therein set forth.

WITNESS MY SIGNATURE AND NOTARIAL SEAL on the date and place first above written.

ATTY. PATRICK I. PENACHOS
Notary Public
Appointment No. 132 (2018-2019)
Roll No. 6[illegible] TIN No. 215-743-042
MCLE Compliance No. V0010458
3/F DAP Bldg., San Miguel Avenue
Ortigas Center, Pasig City

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